

Lily 07 2023

Originator: Spandana Sphoorty Financial Limited

August 01, 2023

Instrument [#]	Amount (₹ crore)	Structure	Tenure* (months)	Rating ¹	Credit Enhancement ^{\$} (₹ crore)	
					Over Collateral	Cash Collateral
Series A1 PTCs	50.85	Par (TI-UP)	19	Provisional CARE AA- (SO)	5.97	3.98

Details of instruments/facilities in Annexure-1.

The pass-through certificates (PTCs) are rated based on timely payment of interest and ultimate payment of principal by the final legal maturity.

* Tenure / door-to-door maturity may change due to prepayments or changes in interest rates, if any.

\$ Excess interest spread (EIS) shall flow back to the originator as per waterfall mechanism.

Rating in the absence of the pending steps/documents

No rating can be assigned

Rationale and key rating drivers

CARE Ratings Limited (CARE Ratings) has assigned a rating of 'Provisional CARE AA- (SO)' [pronounced as 'Double A Minus (Structured Obligation)'] to the Series A1 PTCs, proposed to be issued by Lily 07 2023 backed by microfinance loans receivables originated by Spandana Sphoorty Financial Limited ("the Originator" or "SSFL").

The rating is based on the credit quality of the underlying loans, the support in the form of credit enhancement (CE), the credit underwriting and servicing capability of the originator, the well-defined payment mechanism, and the robust legal structure of the transaction.

The final rating will be assigned after copies of the following documents, duly executed in accordance with the structure and to the satisfaction of CARE Ratings, are furnished by the originator:

- Assignment agreement
- Trust deed
- Power of attorney
- A legal opinion from an independent legal counsel
- Due diligence audit report
- Any other documents executed for the transaction.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors – Factors that could, individually or collectively, lead to positive rating action/upgrade:

- Delinquencies (90+ DPD as % of initial POS) of <2% coupled with the sustained high collection efficiency (cumulative collection efficiency of >98%).
- Build-up of cash collateral of more than 2x the initial proposed (CC; as a percentage of the balance principal outstanding [POS]).

Negative factors – Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Delinquencies (90+ DPD as % of initial POS) of >5% coupled with the sustained lower collection efficiency (cumulative collection efficiency of <90%).
- Sharp deterioration in the credit profile of the originator.
- Non-adherence to key transaction terms envisaged at the time of the rating.

Analytical approach

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

Detailed description of the key rating drive

The transaction is structured at par and the Series A1 PTCs are rated for the timely payment of interest with the repayment of principal on or before the final legal maturity.

¹Complete definitions of the ratings assigned are available at www.careedge.in and in other CARE Ratings Ltd's publications.

The CE will comprise CC of 7.00%, subordinated over collateral (OC) of 10.50%, and subordination of excess interest spread (EIS) of 13.55% of the pool POS in the structure. The CC will be in the form of fixed deposits (FDs) with a lien marked in favour of the trust, as per CARE Ratings' criteria. The support of both, OC and EIS, is subject to realisation. The EIS is also subject to compression on account of prepayments in the pool.

The assigned pool consists of 13,727 microfinance loan contracts, aggregating to a principal outstanding of ₹56.82 crore as on the cut-off date of July 10, 2023. The top three states account for 54.11% of the pool. All the contracts are current on payment. The pool has weighted an average seasoning (based on EMIs paid) of around 6.3 months with amortisation of around 21.6%.

Key strengths:

- The robustness of transaction structure and well-defined payment mechanism.
- Credit enhancement comprising CC, subordinated OC and EIS.
- No overdue contracts as on the pool cut-off date; all contracts are ever current as on the pool cut-off date.
- Underwriting policies and collection capabilities of SSFL.
- High weighted average seasoning (based on EMIs paid) of around 6.3 months with amortisation of around 21.6%.

Key weakness:

- Weak borrower profile as this segment is susceptible to socio-political interference and other external shocks.

Liquidity: Strong

The inherent liquidity in the structure is strong. The interest payouts for Series A1 PTCs are promised on a monthly basis, while the principal of Series A1 PTCs is promised to be paid by final legal maturity. In case of any delinquency, the payouts are expected to be supported by credit enhancement consisting of CC, principal subordination in the form of OC and EIS.

Key rating assumptions

CARE Ratings has analysed the transaction to assess whether the CE is sufficient to cover the shortfalls. Since the transaction is sensitive to the credit quality of the underlying pool, CARE Ratings has analysed the performance of static pools provided by the originator and the overall portfolio performance of the originator. Considering the borrower profile, nature of the loan, pool characteristics, and portfolio performance, CARE Ratings has taken the average shortfall at 10.50%-12.50% of the principal outstanding. The base case shortfalls were stressed along with other key factors, such as the timing of shortfalls, the recovery assumptions, and the time to recovery.

Applicable criteria

[Policy on Default Recognition](#)

[Assignment of Provisional rating](#)

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

Validity of the Provisional rating

The Provisional rating will be converted into a final rating after the receipt of the transaction documents are duly executed within 90 days from the date of issuance of the instrument. An extension of 90 days may be granted on a case-to-case basis in line with CARE Ratings' Policy on the Assignment of Provisional Ratings.

Risks associated with the Provisional nature of the credit rating

When a rating is assigned pending execution of certain critical documents or steps to be taken, the rating is a 'Provisional' rating indicated by prefixing 'Provisional' before the rating symbol. On execution of the critical documents to the satisfaction of CARE Ratings, the final rating is assigned by CARE Ratings. In the absence of receipt of documents or in case such documents deviate significantly from the transaction structure considered by CARE Ratings, the Provisional rating will be reviewed or withdrawn in line with the Policy on Assignment of Provisional Ratings and it is possible that no rating may be assigned.

About the company and industry

Industry classification

Macro-Economic Indicator	Sector	Industry	Basic Industry
Financial Services	Financial Services	Finance	Securitisation

Spandana Sphoorty Financial Limited (SSFL) is primarily engaged in extending microfinance loans through joint-liability group (JLG) model, primarily to borrowers belonging to low-income household in 1997. In 2003, the company was registered with the Reserve Bank of India (RBI), as a non-deposit taking non-banking finance company (NBFC-ND) and is currently registered under the new category of NBFC-MFI. The company went into CDR, post the AP crisis in 2010 and exited CDR in April 2017.

SSFL was promoted by Padmaja Reddy, who holds around 15% stake in the company and is a member of the board but does not hold significant control. Other major stakeholders are Kedaara Capital and Affiliates (holding 58.19%), JM Financial Products Limited (holding 9.94%) and Valiant Mauritius Partners FDI Ltd. (holding 9.46%). The new CEO, Shalabh Saxena, and CFO, Ashish, have come from Bharat Financial. The positions of CTO, CBO and CXO were also filled thereafter by Kedaara Capital. Spandana has presence in 14 states with a total of 1,533 branches. The portfolio is moderately diversified, as Madhya Pradesh constituted the maximum of 21.31% but the top four states constituted 76.06% of the portfolio. SSFL is focused towards its micro-credit business and follows the JLG model for risk mitigation. The business of SSFL is targeted towards under-privileged women.

Key financial indicators - SSFL

Particulars	FY21 (A)	FY22 (A)	FY23 (P)
Total income (₹ crore)	1,465	1,392	1,394
PAT (₹ crore)	1026	862	788
Interest coverage (times)	1.42	1.12	1.13
Total assets (₹ crore)	8,241	6,676	9,185
Net NPA (%)	3.27%	6.78%	0.58%
ROTA (%)	1.55%	0.68%	0.16%

A: Audited; P: Provisional; Note: 'the above results are latest financial results available'.

Status of non-cooperation with the previous CRA: Not applicable

Any other information: Nil

Rating history for the last three years: Please refer Annexure-2

Covenants of the rated instruments/facilities: Detailed explanation of the covenants of the rated instruments/facilities is given in Annexure-3

Complexity level of the various instruments: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	Date of Issuance	Coupon Rate	Maturity Date	Size of the Issue (₹ crore)	Rating Assigned along with Rating Outlook
Pass-through certificates	-	-	-	50.85	Provisional CARE AA- (SO)

Annexure-2: Rating history for the last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022	Date(s) and Rating(s) assigned in 2020-2021
1.	Pass-through certificates	LT	50.85	Provisional CARE AA- (SO)	-	-	-	-

LT*- Long term

Annexure-3: Detailed explanation of the covenants of the rated instruments/facilities

Not applicable

Annexure-4: Complexity level of the various instruments rated

Sr. No.	Name of Instrument	Complexity Level
1.	Pass-through certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on the complexity levels of the rated instruments: CARE Ratings has classified instruments rated by it on the basis of complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for any clarifications.

Contact us

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About us:

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Disclaimer:

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